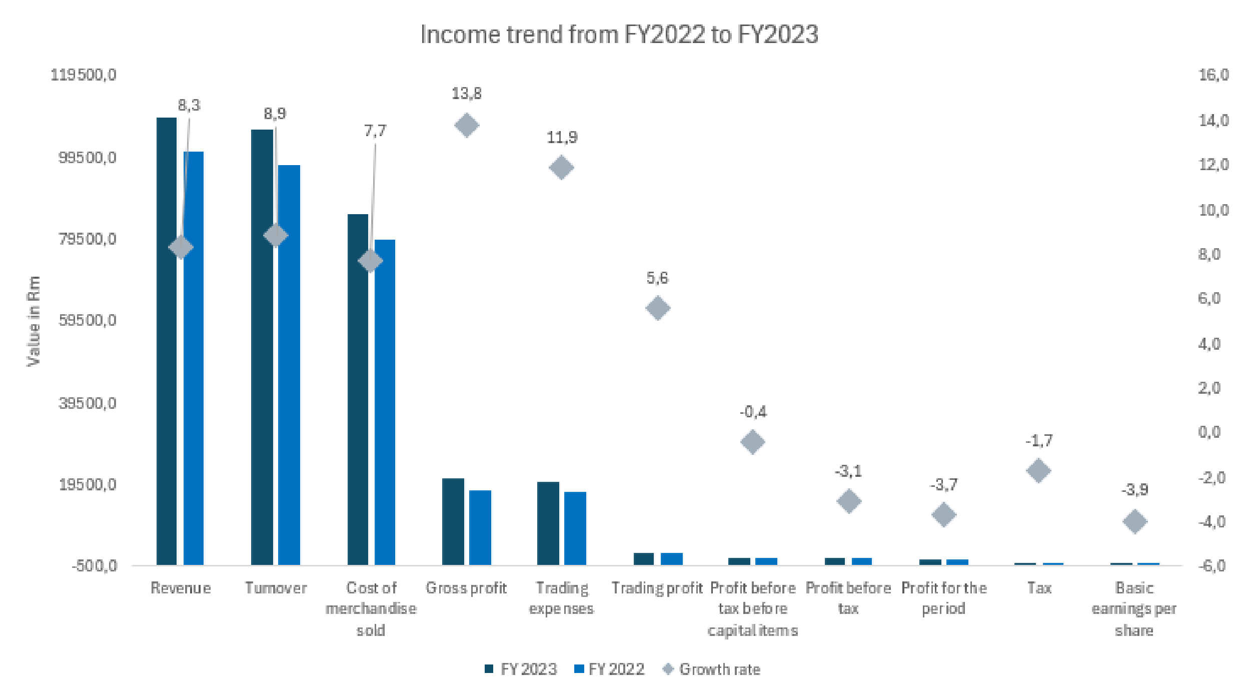
Pick n Pay Group Economic Analysis

Project Overview

This project analyses Pick n Pay Group's financial and economic performance between FY2022 and FY2025.

2022 and 2023 Financial and economic analysis

Income statement



The growth in revenue and turnover from FY2022 to FY 2023 can be linked to selling price inflation passing through to consumers.

The cost of merchandise increased because of input cost inflation from supplier prices across food, general merchandise and clothing categories.

Gross profit increased in FY2023 compared to FY2022 which was weight down by the effects of the pandemic in 2021.

Trading expenses increased in FY2023 dues to employee costs inflation. Minimum wage increases was one of the factors that placed upward pressure on the trading expenses.

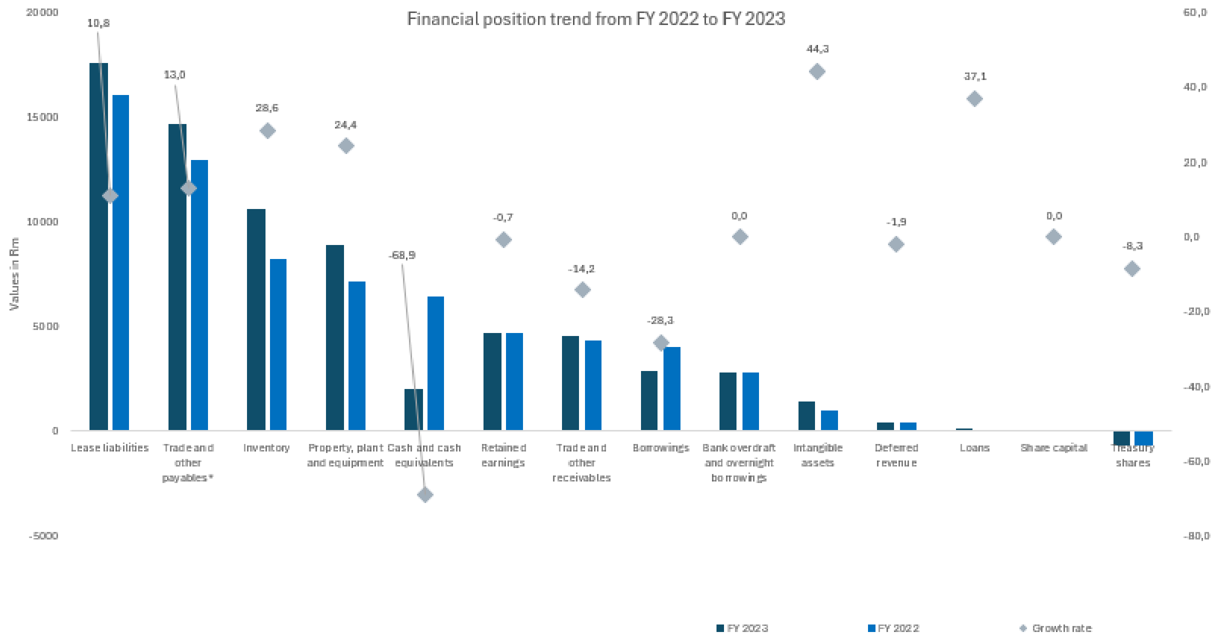
The increase in trading profit reflects the improvement in gross profit.

Despite the increase in profit, profit before tax decreased from FY2022 to FY2023. Higher net finance costs driven by rising interest rates can be linked to this decrease.

The effective tax rate remained broadly stable, so tax declined proportionately.

Earnings per share declined consistently with the decline in profit.

Statement of financial position



Lease liabilities increasing because a new store was opened. It should be noted that lease liability is the Group's largest liability.

Trade and other payables increased, this is a good sign as it signifies an improvement in working capital management and increased revenue growth.

The increase in revenue can be linked to the opening of a new store. More inventory was required as a result.

PP&E increased, new store fit out and refurbishments are one of the factors for this increase.

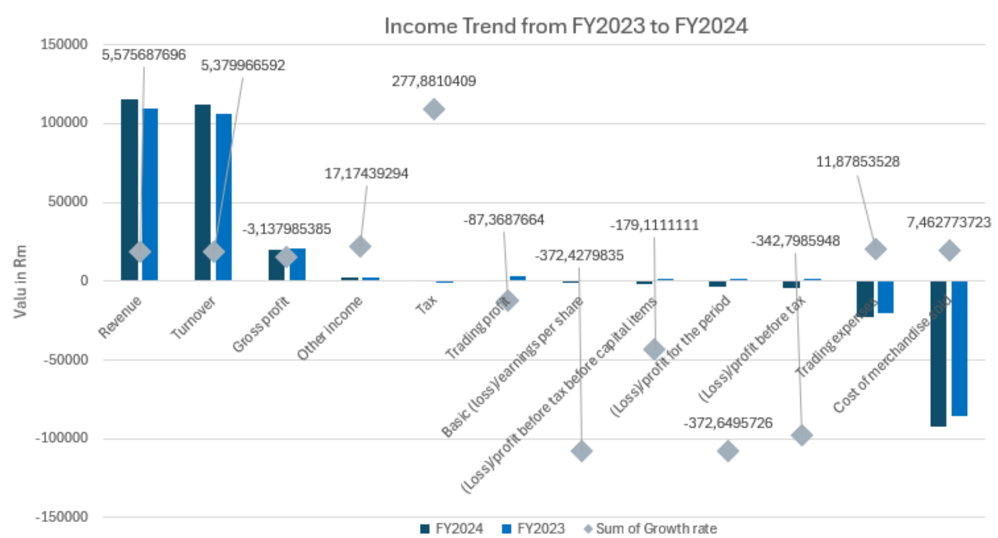
Cash and cash equivalents fell in FY2023 as a result of a decrease in operating activities, driven by an increase in inflation.

Retained earnings declined due to a decrease in profit.

Intangible assets decreased, reflecting regular amortisation of existing intangibles with minimal new capitalisation.

2023 and 2024 Financial and Economic analysis

Income statement



Revenue and turnover increased from FY2023 to FY2024, this is because Boxer began its largest expansion.

The cost of merchandise increased due to higher logistics and supply chain costs.

Gross profit decreased due to lower supplier incentives received in the second half of the financial period and increased promotional participation by consumers.

Othe income grew due to strong growth in value-added services through the Smart Shopper data monetisation and financial services partnerships.

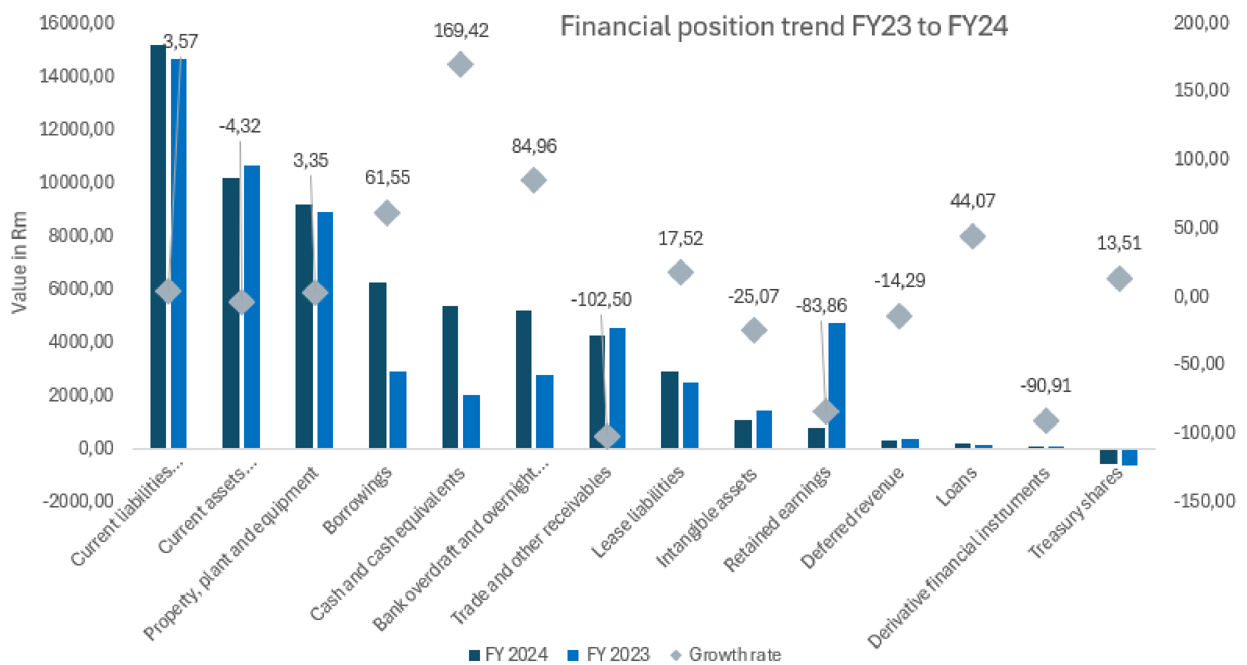
Trading expense grew and one of the factors for this was an increase in mandatory minimum wage increases.

Trading profit declined, residual loadshedding and elevated restructuring chargers being one of the factors.

A loss before tax and a loss for the period were experienced due to a decline in trading profit as mentioned above.

The drastic decline in earnings per share reflect structural issues in the business model and require a fundamental strategic reset.

Statement of Financial position



Current liabilities grew which appears positive in isolation but masks significant structural shifts

Current assets declined, driven by a dramatic decline in trade and other receivables as one of the factors.

PP&E grew, reflecting continued but modest capital investments.

Short-term borrowing increases and this was due to accelerating cash burn, leading to additional debt facilities.

Cash and cash equivalents increased due to the proceed of the disposal of PP&E as one of the factors.

Bank overdraft and overnight drawings increased as a response to trading losses and covenant pressures. This was just one of the factors.

Trade and other receivable declined, reflecting improvements in debtor collections and tighter credit management.

Lease liabilities increased because a store under Boxer added new right-of-use assets and corresponding lease obligations.

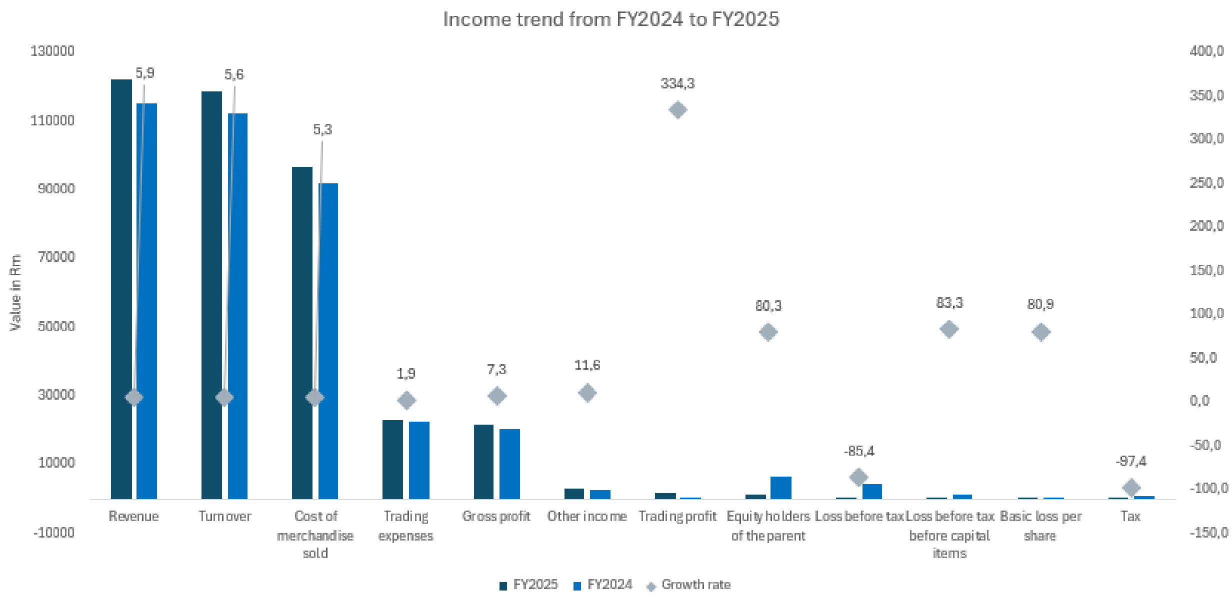
Intangible assets declined due to charges on goodwill resulting from the deteriorating performance of PnP’s CGU’s, and continued amortisation of systems development assets.

Retained earnings fell due to a loss for the period.

There was a larger decline in derivative financial instruments, reflecting a reduced forward exchange contract hedging position.

2024 and 2025 Financial and Economic analysis

Income statement



The increase in revenue and turnover was due to the additional week in FY2025 compared to FY2024.

Cost of merchandise increased in line with turnover.

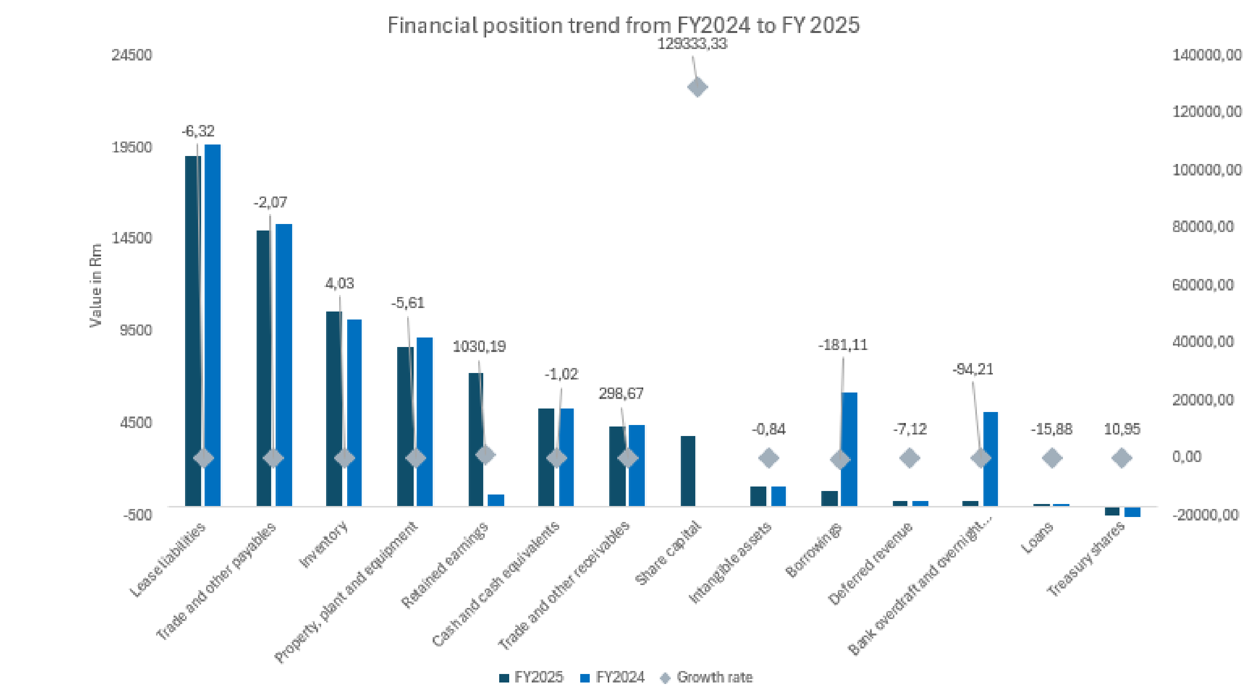
Gross profit increased due to an increase in revenue.

The increase in trading expenses is due to lower debt provisions as one of the factors.

The strong rebound in trading profit is caused by an increase in operating leverage.

Loss before tax was driven by inflated costs in asset impairments.

Statement of Financial Position



Short-term borrowings decreased as a result of using less leverage, initiating a Boxer IPO instead.

Trade and other receivables experienced a sharp increase due to prior period error correction.

Retained earnings increased because the Rights Offer and Boxer IPO reduced non-controlling interests and increased equity attributable to parent shareholders, boosting retained earnings despite an operating loss.

Deferred revenue decreased because of higher redemption of Smart Shopper loyalty points.

Conclusion

Pick n Pay's financial performance over the period FY2022 - FY2025 is shaped by a challenging retail operating environment and strategic restructuring. Revenue continues to grow throughout the period, but profitability does not reflect the same trajectory, demonstrating Pick n Pay's challenges in translating sales growth to earnings.

Between FY2022 and FY2023, the Group showed resilience. Revenue, gross profit and trading profit all continued to improve, although interest rates were driving higher finance costs, thereby eroding profit before tax and earnings per share.

Between FY2023 and FY2024 was the period of poorest performance. While revenue was increasing, gross profit margins came under pressure due to lower supplier incentives and greater promotional intensity. Costs were increasing, while load shedding, costs associated with restructuring and impairments were having an impact on profits, and this led to a loss before tax and a net loss for the year. The statement of financial position showed increasing dependence on borrowings and strain on liquidity.

During FY2025, signs of recovery were present. Revenue growth was solid, boosted by an extra trading week and further expansion. Gross profit and trading profit improved significantly as stronger operational leverage became evident and operational efficiencies grew. The Boxer IPO and Rights Offer helped the balance sheet by reducing debt reliance and increasing shareholder equity. Nevertheless, a loss before tax still exists, implying the turnaround has only recently begun.

To sum it all up, the analysis suggests Pick n Pay is recovering from a period of decline to one of early turnaround. While revenue growth and operating performance have improved, the company still needs to drive profitability, manage costs tightly, and develop a sustainable capital structure.

Skills Demonstrated

- Financial Statement Analysis
- Economic Analysis
- Ratio Analysis
- Excel
- Financial Reporting